Chapter-IV Technical Working Group

A. Instructions on Technical Working Group

23. In order to institutionalize a continuing mechanism for reviewing and making changes where necessary in the data formats, a Technical Working Group (TWG) shall be formed. The TWG shall carry out the following functions:

(1) Review the data reporting formats, at least once a year, and make recommendations, if any, to the Reserve Bank in this regard.

(2) Frame rules on data fields for all data reporting formats, viz., consumer, commercial, micro finance (MFI) segments. The data formats after finalisation by the Group will be submitted to RBI for approval.

(3) Any other matter relating to collection and dissemination of credit information as the Reserve Bank may assign from time to time.

24. The TWG shall comprise of representatives from Public Sector Banks, Private Sector Banks, Foreign Banks, Primary (Urban) Cooperative Banks (UCBs), Regional Rural Banks (RRBs), All India Notified Financial Institutions (AIFIs), Non-Banking Financial Companies (NBFCs), Housing Finance Companies (HFCs), Asset Reconstruction Companies (ARCs) India Banks' Association (IBA), Micro Finance Institutions Network (MFIN), Sa-Dhan and CICs.

25. Meetings of the TWG shall be held at least once in a calendar year. The four CICs shall act as convenor of the TWG by rotation (for each calendar year), in alphabetical order of the name.

B. Standing Sub-Group of TWG

26. A Standing Sub-Group of TWG shall be constituted to function as an advisory and collaborative body to offer expert insights and make recommendations on technical aspects of credit information reporting. Its purpose would be to support in-depth discussions regarding challenges encountered by CIs and CICs in relation to credit information reporting. This includes necessary modifications, including changes in the IT systems, that may be required in the data reporting formats. The Sub-Group shall work to support the broader TWG to ensure a holistic approach to strengthening the credit information reporting ecosystem.

27. The Sub-Group of TWG would consist of representatives from Public-Sector Banks, Private Sector Banks, Foreign Banks, Small Finance Banks, Regional Rural Banks, Urban Cooperative Banks, Non-Banking Financial Companies, Asset Reconstruction Companies, Self-Regulating Organizations (SROs), viz., MFIN and Sa-Dhan, and all CICs.

28. Members of the Sub-Group shall be selected by the convenor with prior approval of the Reserve Bank. To enhance the overall expertise and effectiveness of the discussions, members of the Sub-Group shall nominate subject matter experts to its meetings.

29. The Sub-Group of TWG shall meet at least on a half yearly basis to discuss credit information reporting issues and seek potential resolutions.

30. To ensure effective coordination, the CIC that assumes the role of TWG convenor for a specific year shall also act as convenor of the Sub-Group in that particular calendar year.

31. To ensure proper preparation and informed discussions, the convenor shall send the meeting agenda and notes at least fifteen (15) days before the scheduled meeting. Additionally, if members desire to introduce a new issue or item for discussion, they should send a note outlining the points of discussion and proposed solutions to the convenor.

32. Action points emanating from discussions of the Sub-Group shall contain specific timelines required for their implementation by CICs and CIs.

33. Recommendations of the Sub-Group of TWG shall be forwarded to the Department of Regulation, Central Office, Reserve Bank of India for perusal. If required, RBI may seek TWG's opinion on these recommendations.

Chapter-V Customer Service and Grievance Redressal

A. Strengthening of customer service

34. In order to strengthen and improve the efficacy of the grievance redress mechanism and customer service provided by the CIs, the following measures shall be put in place by a CI:

(1) **Updation of credit information with CICs**

(i) A CI shall send alerts through SMS / email to customers while submitting information to CICs regarding default / days past due (DPD) in existing credit facilities, wherever the mobile number/email ID details are available.

(ii) To enable sending of alerts through SMS / email, the Uniform Credit Reporting Format for reporting credit information by a CI to CICs has been modified as detailed in **Annex V**.

(iii) A CI shall organize special awareness campaigns to sensitise its customers about benefits of submission of their mobile numbers / email IDs.

(2) Setting up of nodal points / officials

(i) A CI shall have a dedicated nodal point / official of contact for CICs for redress of customer grievances. Details of the nodal point / official along with email ID and telephone / mobile number shall be furnished by the CI to CICs.

(ii) A CI shall inform CICs of any changes in the nodal points / official within five calendar days of such a change.

(3) **Reasons for rejection of requests for data correction**

(i) A CI shall inform the customers the reasons for the rejection of their request for data correction, if any, to enable such customers to better understand the issues in the CIR.

(ii) A CI shall use the list of reasons for rejection of requests circulated by CICs, while communicating the rejections of the request for data correction made by customers / CICs during the grievance redress process.

(4) Root Cause Analysis of complaints

(i) A CI shall undertake Root Cause Analysis (RCA) of the customer grievances at least on a half yearly basis. CIs shall also use, inter alia,

information on data rejected by the CICs and DQI provided by CICs as sources of information for carrying out RCA.

(ii) The RCA shall be reviewed by the top management at least on an annual basis.

B. Framework for compensation to customers

35. A CI shall implement the following compensation mechanism for delayed updation/ rectification of credit information:

(1) Complainants shall be entitled to a compensation of ₹100 per calendar day in case their complaint is not resolved within a period of thirty calendar days from the date of the initial filing of the complaint by the complainant with a CI / CIC.

Explanation:

(i) Section 21 (3) of CICRA, 2005 provides that a complainant may request a CIC or CI to update the credit information by making an appropriate correction, addition or otherwise, and on such request the CI or CIC shall take steps to update the credit information within 30 days after being requested to do so.

(ii) Rule 20 (3) (c) of CIC Rules, 2006 provides that the CI shall forward the corrected particulars of the credit information to the CIC or complainant within a period of 21 days from the date when the CI was informed of the inaccuracy in the credit information.

(iii) The combined reading of Section 21(3) of CICRA, 2005 and Rule 20 (3) (c) of CIC Rules, 2006 provide the CI and the CIC, collectively, an overall limit of thirty (30) days to resolve/ dispose of the complaint. In effect, this would mean that a CI would get 21 days and CICs would effectively get the remainder of nine days for complete resolution of the complaint.

(2) A CI shall pay compensation to the complainant if it has failed to send updated credit information to the CICs by making an appropriate correction or addition or otherwise within 21 calendar days of being informed by the complainant or a CIC.

(3) The complainant shall be advised by the CI / CIC of the action taken on the complaint in all cases, including the cases where the complaint has been rejected. In cases of rejection, the reasons for rejection shall also be provided

by CI and CIC.

(4) Compensation to be provided by the CICs / CIs to the complainant (for delayed resolution beyond 30 calendar days of filing the complaint) shall be apportioned among the CIs / CICs concerned proportionately.

Illustrations:

(i) Complaints registered with CIC by the complainant

CIs have maximum 21 days' time and CICs have the remaining period, within the overall time period of 30 days from the date of receipt of the complaint for its resolution. Compensation payable by the CICs/ CIs shall be calculated under various scenarios as illustrated below:

Case 1

- Complaint registered with a CIC on January 1, 2022.
- The CIC seeks confirmation from the CI (for e.g. Bank A) on January 12, 2022.
- Bank A provides confirmation to the CIC on February 2, 2022 (21st day would be February 2, 2022) – no delay by Bank A.
- The CIC resolves and provides rectified CIR to the complainant on February 3, 2022.
- Compensation of ₹300/- shall be provided by the CIC to the complainant for delay of three (3) days beyond the permissible period of 30 days (i.e. in this case by January 31, 2022).

Case 2

- Complaint registered with a CIC on January 1, 2022.
- The CIC seeks confirmation from Bank A on January 5, 2022.
- Bank A provides confirmation to the CIC on January 26, 2022 (i.e. within 21 days) – no delay by Bank A.
- The CIC resolves and provides rectified CIR to the complainant on February 3, 2022.

- Compensation of ₹300/- shall be provided by the CIC to the complainant for delay of three (3) days beyond the permissible period of 30 days (i.e. in this case by January 31, 2022).

Case 3

- Complaint registered with a CIC on January 1, 2022
- The CIC seeks confirmation from Bank A on January 5, 2022.
- Bank A provides confirmation to the CIC on January 28, 2022 (21st day would be January 26, 2022) – 2 days delay by Bank A
- If CIC resolves and provides rectified CIR to the complainant on February 2, 2022 - Compensation of ₹200/- shall be provided by the Bank A to the complainant for a delay of two (2) days beyond the permissible period of 30 days (i.e. in this case by January 31, 2022).
- If CIC resolves and provides rectified CIR to the complainant on February 3, 2022 – Total compensation of ₹300/- (₹200/- by Bank A and ₹100/- by CIC) shall be provided to the complainant for delay of three (3) days beyond the permissible period of 30 days (i.e. in this case by January 31, 2022).

Case 4

- Complaint registered with a CIC on January 1, 2022
- The CIC seeks confirmation from Bank A, Bank B, Bank C, Bank D, Bank E on January 5, 2022 – i.e. the CIC has taken 4 days to seek confirmation.
- For Bank A, B, C, D and E – (21st day would be January 26, 2022)
- If Bank A provides confirmation to CIC on January 26, 2022 – No delay
- If Bank B provides confirmation to CIC on January 31, 2022 – 5 days delay
- If Bank C provides confirmation to CIC on February 2, 2022 – 7 days delay
- If Bank D provides confirmation to CIC on February 4, 2022 – 9 days delay
- If Bank E provides confirmation to CIC on February 6, 2022 – 11 days delay

32 days

- Therefore, total delay in resolution of complaint is as follows:

  - If the CIC resolves and provides rectified CIR to the complainant on February 6, 2022 – Total compensation of ₹600 shall be provided to the

complainant, on a weighted average basis, as under, for a delay of 6 days beyond the permissible period of 30 days (i.e. in this case by January 31, 2022):

Explanation: The delay of six days shall be apportioned by the CIs/CICs on weighted average of the extent of delay by each CIs/CICs. In the above case, the overall delay is 6 days and therefore the complainant shall be entitled for total compensation of ₹600. This needs to be apportioned between all the defaulting banks (in this case Bank B, C, D and E). Cumulatively, the delay of all the defaulting banks put together is 32 days (5+7+9+11 days). Therefore, the compensation amount of ₹600 shall be apportioned on weighted average of the delay by each CIs in relation to the overall delay of 32 days in this case.

- Bank A = No compensation
- Bank B = (5*600)/32 = ₹93.75
- Bank C= (7*600)/32 = ₹131.25
- Bank D = (9*600)/32 = ₹168.75
- Bank E = (11*600)/32 = ₹206.25
- CIC = No compensation

- If the CIC resolves and provides rectified CIR to the complainant on February 11, 2022, total days taken by CIC would be 9 days (i.e. 4+ 5 days). Total compensation of ₹1100 shall be provided to the complainant, on a weighted average basis, as under, for delay of 11 days beyond the permissible period of 30 days (i.e. in this case by January 31, 2022):

- Bank A = No compensation
- Bank B = (5*1100)/32 = ₹171.88
- Bank C = (7*1100)/32 = ₹240.62
- Bank D = (9*1100)/32 = ₹309.38
- Bank E = (11*1100)/32 = ₹378.12
- CIC = No compensation (as CIC has taken overall 9 days)

- If the CIC resolves and provides rectified CIR to the complainant on February 15, 2022. CIC has taken 13 days (i.e. 4 days + 9 days) to provide a final rectified CIR. Total compensation of ₹1500 shall be provided to the complainant, on a weighted average basis as under, for the delay of 15 days beyond the permissible period of 30 days (i.e. in this case by January 31, 2022):

  - Bank A = No compensation
  - Bank B = (5*1500)/36 = ₹208.34
  - Bank C = (7*1500)/36 = ₹291.66
  - Bank D = (9*1500)/36 = ₹375.00
  - Bank E = (11*1500)/36 = ₹458.34
  - CIC = (4*1500)/36 = ₹166.66

32 + 4 = 36 days

Case 5

- Complaint registered with a CIC on January 1, 2022
- The CIC seeks confirmation from Bank A on January 5, 2022
- Bank A provides confirmation to the CIC on January 28, 2022 (21st day would be January 26, 2022) – 2 days delay
- If, CIC resolves and provides rectified CIR to Bank A on January 31, 2022 (i.e. resolution done within 30 days of receiving the complaint) - No case for Compensation.

However, the CI would be liable for penal action as deemed fit by the Reserve Bank of India as per provisions of CICRA, 2005 and Rules and Regulations farmed thereunder.

(ii) Complaints registered with CIs by the complainant

Case 6

- Complaint registered with a CI (for e.g. Bank A) on January 1, 2022
- Bank A provides rectified details to CIC on January 22, 2022 (21st day would be January 22, 2022) – no delay by Bank A.